

Why Do I Need to Understand This?

In the budgeting chapter, you learned that overspending on transportation and housing is one of the biggest mistakes people make in their budgets. What's more, these purchases generally take a long time to pay off—which means buying a car or home that is outside your budget can cripple your finances for years or even decades. Before you decide to make these huge purchases, it is crucial to understand whether or not you are ready, what to expect in the process, and how the decision will impact your finances.

The process of buying a home or car is quite different than most other purchases in life. For instance, when you go to Taco Bell, you tragically do not get to negotiate the price of the chalupa you are buying. But when you buy a car or home, you do get to negotiate—and most people are terrible negotiators. It can be especially intimidating because you have to negotiate with salespeople directly, and since these people literally do this for a living, they are usually much better at it than you are.

Think of something you have bought in the past that you ended up regretting: an uncomfortable pair of shoes the cool kids had, an ugly sweater you hoped would make you edgy, or an expensive meal you enjoyed far less than something off the McDonald's Value Menu. In the end, these mistakes probably weren't that big of a deal. Buying a car or a house when you are unprepared or uninformed, however, can sabotage the rest of your budget and cause stress and frustration for years to come. This chapter will prepare you for life's major purchases, so you can be filled with excitement and confidence, instead of fear and doubt during these important milestones.